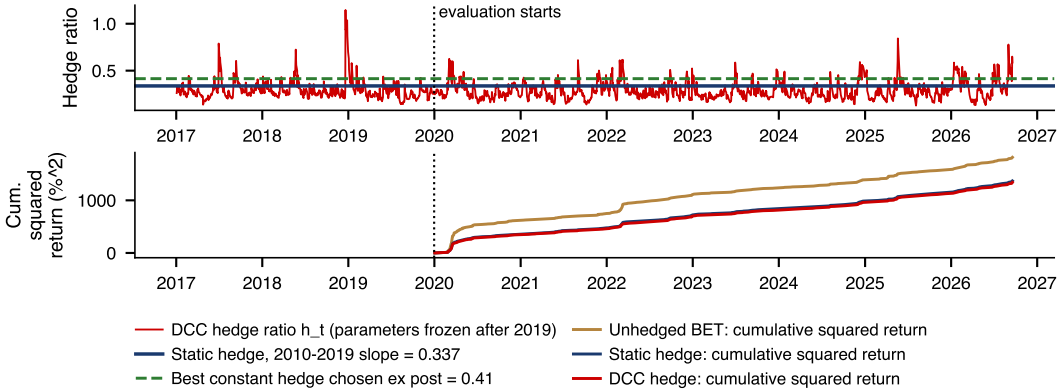
Hedge ratio
1.0
0.5
evaluation starts
2017
2018
2019
2020
2021
2022
2023
2024
2025
2026
2027
Cum. squared return (%^2)
1000
0
DCC hedge ratio h_t (parameters frozen after 2019)
Static hedge, 2010-2019 slope = 0.337
Best constant hedge chosen ex post = 0.41
Unhedged BET: cumulative squared return
Static hedge: cumulative squared return
DCC hedge: cumulative squared return